14A. Reporting and Analyzing Liabilities(Ch 9)

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Part 1: Current Liabilities

14A.0 Overview

- Liabilities are **probable**, nondiscretionary, **future obligations** resulting **from past events**.
- Two principal classifications on the balance sheet:
  1. **Current liabilities** — payable within one year.
  2. **Long-term (noncurrent) liabilities** — payable beyond one year.
- Each category is further split by purpose:
  - **Operating liabilities** — arise from normal business operations (accounts payable, accrued expenses, warranties); typically non-interest-bearing.
  - **Nonoperating (financial) liabilities** — interest-bearing borrowing (notes, bonds, current maturities of LTD).
- **Financial leverage**: using debt to amplify ROE, while increasing default risk and required returns.

EXHIBIT 9.1 Verizon Communications' Liabilities and Equity

At December 31 ($ millions)	2024	2023
Current liabilities		
Debt maturing within one year	$ 22,633	$ 12,973
Accounts payable and accrued liabilities	23,374	23,453
Current operating lease liabilities	4,415	4,266
Other current liabilities	14,349	12,531
Total current liabilities	64,771	53,223
Long-term debt	121,381	137,701
Employee benefit obligations	11,997	13,189
Deferred income taxes	46,732	45,781
Non-current operating lease liabilities	19,928	20,002
Other liabilities	19,327	16,560
Total liabilities	284,136	286,456
Total equity	100,575	93,799
Total liabilities and equity	$384,711	$380,255

14A.1 Current Operating Liabilities

- Current liabilities are further viewed as operating (tied to operating expenses) or nonoperating (financial).

Accounts Payable

- Amounts owed for goods/services bought on credit — usually non-interest-bearing, low-cost financing that raises ROE.
- **Cash discount (e.g., 1/10, n/30):** 1% off if paid within 10 days, else full amount in 30. Missing it is costly — about 18.4% on an annual basis.

Accrued Liabilities

- Expenses incurred but unpaid at period-end (wages, interest, taxes, rent, utilities).

	Debit	Credit

Contingent Liabilities

- A contingent liability is a possible obligation from a past event whose existence or amount depends on an uncertain future outcome (e.g., pending lawsuits, environmental cleanup, debt guarantees).
- Reporting depends on the likelihood of loss and whether it is estimable:

Likelihood	U.S. GAAP treatment
Probable AND estimable	Accrue on balance sheet + charge to income
Reasonably possible	Disclose in notes only
Remote	Disclosure permitted, not required

- **Illustration:** Scorcese Inc. is involved in a lawsuit at December 31, 2028. (a) Prepare the December 31 entry assuming it is probable that Scorcese will be liable for $900,000 as a result of this suit. (b) Prepare the December 31 entry, if any, assuming it is *not* probable that Scorcese will be liable for any payment as a result of this suit.

Warranties

- If the warranty is mere assurance (not separately purchasable), no revenue is allocated to it; instead accrue the expected cost at the time of sale to match against revenue.

Journal Entry at Sale

	Debit	Credit

Journal on Claim

	Debit	Credit

Deferred Performance & Other Current Liabilities

- Deferred performance liabilities are settled by delivering goods/services, not cash
  - Examples: customer deposits, unearned gift cards, frequent-flier obligations.

- Dividends payable (declared, unpaid) is a liability, but dividends are never expensed. — the offset is a reduction in equity.

Concept Quiz #1

1. A contingent liability is accrued on the balance sheet only when it is both ______ and ______.

2. An assurance-type warranty is recorded at the time of ______ by recording Warranty Expense and Warranty Liability.

3. Dividends payable is a liability, but dividends are never ______; the offset reduces equity.

14A.2 Current NonOperating (Financial) Liabilities

Short-Term Interest-Bearing Debt

- Bank lines of credit and short-term notes payable, typically used to fund seasonal working-capital swings.
- Interest must be accrued each period, even if not yet paid.

$$\textit{Interest Expense} = \textit{Principal} \times \textit{Annual Rate} \times \textit{Portion of Year}$$

Current Maturities of Long-Term Debt

- Portions of long-term debt due within the next 12 months are reclassified from long-term to current liabilities.
- **Example:** Verizon's $5,889M of "debt maturing within one year" includes both short-term debt and current maturities of LTD.

Discussion Questions

Required:

a. Why does GAAP require companies to reclassify the current maturities of long-term debt as a current liability?

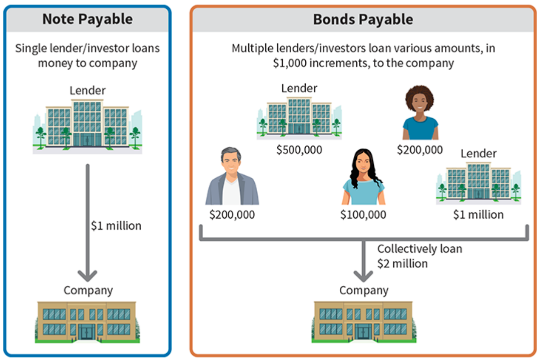
Part 2: Long-Term Liabilities

14A.3 The Nature of Long-Term Debt

- **Long-term debt** consists of probable future sacrifices of economic benefits arising from present obligations that are **not payable within a year** or the **operating cycle** of the company, whichever is **longer**.
- Long-term debt comes in many different forms. **For Examples**,
  - **Bonds payable**
  - **Long-term notes payable**
  - Mortgages payable
  - Pension liabilities
  - Lease liabilities
- All these debts may be packaged in different ways, but accounting for debt is done essentially the same way, that is,
  - LT liabilities are reported **at their present values** at the time of borrowing.
    - The PV of liabilities = discounted future cash outflows (principal + interest)
    - Discount rate = the **effective interest rate** (or market interest rate)
  - Interests on debt accrue as time passes.

14A.4 Bond Indenture

- **Notes Payable (private debt) vs. Bonds Payable (public debt)**
  - **Notes** - When a single lender (often a financial institution) or investor loans money to a company, a note payable is created.
    - The note is a legal document that specifies the important features of the note, such as the amount, maturity date, and the rate of interest.
  - **Bonds are** a type of notes payable in which the amount is divided into smaller pieces, usually $1,000 each.
    - With more units, the company can issue bonds to more investors and raise more money, as compared to a single note payable to a single lender or investor.



- The contract governing a bond issue is called the **bond indenture**.
  - It establishes the details of the bonds such as the amounts authorized to be issued, interest rate, due dates, and other important details.

14A.5 Financial Statement Disclosures

Long-term debt

- LT debit is usually reported as one amount in the balance sheet but supported with comments and schedules in the accompanying notes as the SEC requires detailed disclosure on long-term debt.

Off-Balance Sheet Financing (OBSF)

- In substance, OBSF is liability. However, the current U.S. GAAP allows companies not to report their liabilities on their balance sheet if certain conditions are met. So, the term, off-balance sheet financing, is created.
- Off-balance-sheet financing can take many different forms.
  - Non-consolidated subsidiary
  - Special-purpose entity (SPE).
- Why do companies engage in off-balance-sheet financing?
  - Many believe that removing debt enhances the quality of the balance sheet and permits credit to be obtained more readily and at less cost.
  - Loan covenants often limit the amount of debt a company may have. As a result, the company uses off-balance-sheet financing because these types of commitments might not be considered in computing the debt limitation.
- Many allege that Enron, one of the largest corporate failures on record, hid a considerable amount of its debt off the balance sheet.
- After the Sarbanes-Oxley Act, companies are required to provide related information in their management discussion and analysis sections. Specifically, companies must disclose (1) all contractual obligations in a tabular format and (2) contingent liabilities and commitments in either a textual or tabular format.
- Example - From Microsoft Inc.'s 2021 10-K report

Contractual Obligations

The following table summarizes the payments due by fiscal year for our outstanding contractual obligations as of June 30, 2021:

(In millions)	2022	2023-2024	2025-2026	Thereafter	Total
Long-term debt: [a]					
Principal payments	$ 8,075	$ 8,000	$ 5,250	$ 42,585	$ 63,910
Interest payments	1,628	2,847	2,438	17,320	24,233
Construction commitments [b]	8,927	529	0	0	9,456
Operating leases, including imputed interest [c]	2,801	4,956	3,469	6,747	17,973
Finance leases, including imputed interest [c]	1,341	3,256	3,774	14,096	22,467
Transition tax [d]	1,427	4,105	8,030	0	13,562
Purchase commitments [e]	29,129	1,708	446	270	31,553
Other long-term liabilities [f]	0	365	68	263	696
Total	$ 53,328	$ 25,766	$ 23,475	$ 81,281	$ 183,850

Discussion Question 4.1 — Off-Balance-Sheet Obligations

A company discloses $300M of purchase and operating-lease commitments due next year that are not recorded as liabilities, and reports operating cash flow of $9,200M against $26,900M of total fixed commitments.

Required:

a. Explain why off-balance-sheet financing can make a company's leverage look stronger than it is.

b. Describe how you would bring the $300M of commitments onto the balance sheet for analysis.
c. Compute the fixed commitments ratio and interpret whether operations can cover obligations.

14A.6 Valuation for Bonds (FYI Only)

- **Stated Interest Rate vs. Market Interest Rate – Why are they different at issuance?**
  - The issuance and marketing of bonds to the public takes weeks or even months (e.g., the SEC's approval of the bond issue needed).
  - Between the time the company sets terms (e.g., the stated interest rate = 3%) and the time it issues the bonds, the market conditions and the financial position of the issuing corporation may change significantly (i.e., the market interest rate = 4%)
  - **Stated (coupon or nominal) rate**. This is the interest rate written in the terms of the bond indenture. The issuer of the bonds sets this rate, which represents the amount of interest that will be paid on the face value of the bonds. This interest rate *is fixed and will not change* over the life of the bonds.
  - **Market (or effective) rate (effective yield)**. This is the prevailing interest rate in the investing markets for bonds with similar characteristics. It is driven by many factors, including the risk of the company, government policy, central bank interest rates, and the state of the economy. This interest rate *fluctuates up or down over time*.

- **How is a bond price determined at issuance?**
  - The selling price of a bond is **the present value** of its **expected future cash flows**.
  - Three factors affect the bond price :
    - The **principal or face value** that will be paid at the maturity date (cash flow),
    - **Stated rate**, which determines the interest payment (cash flow),
    - **Market rate** is used to discount two future cash flow streams (discount factor)

Therefore, the rate of interest actually earned by the bondholders will be **the market rate (not the stated interest rate)**. → To be elaborated more later.

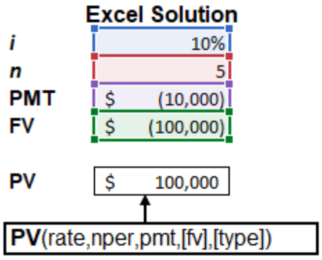
- **Illustration 14-2a: Bond price when stated interest rate = market interest rate**

  On January 2026, Masterwear Industries issues $100,000 in bonds due in 5 years with **10%** interest payable annually at year-end (i.e., the stated rate = 10%). At the time of issue, the market rate for such bonds with similar characteristics is **10%.** What is the bond price at issuance?

Solution: The bond price is the present value of (or discounted) future cash outflows (i.e., interest payment and principal payback) computed as follows:

Present Value of Cash Flows	Jan. 1 2026	Dec. 31 2026	Dec. 31 2027	Dec. 31 2028	Dec. 31 2029	Dec. 31 2030	
$37,908	←	($10,000)	($10,000)	($10,000)	($10,000)	($10,000)	**Int. Payment**
$62,092	←					($100,000)	**Principal**
$100,000	← Present Value of Interest and Principal = Bond Price						

Market Interest rate (i) : 10%
Borrowing period (n) : 5 years
Periodic Interest payment (PMT) : \$ 10,000 (\$100,000 x 9%)
<u>Principal back in 5 years (FV) : \$100,000</u>
Bond Price at Issuance : \$100,000

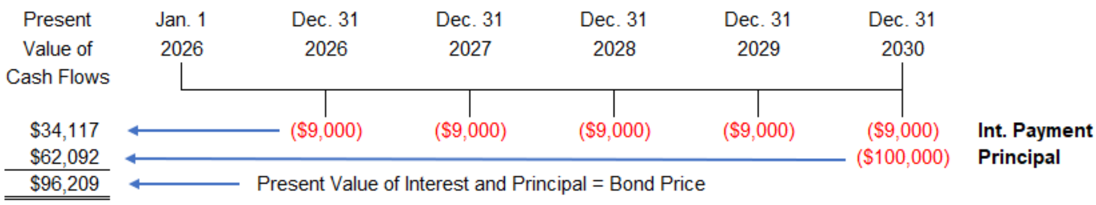


- **Note:** The negative numbers (red fonts in parentheses) represent the cash outflows. The positive numbers represent cash inflows.
- When the stated rate (10%) = the market rate (10%), **the bond is issued at par**, i.e., the face value is equal to the bond price.

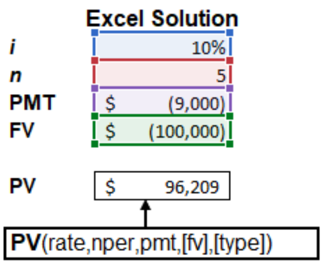
- **Illustration 14-2b: Bonds issued at a discount (stated rate < market interest)**

On January 2026, Masterwear Industries issues \$100,000 in bonds due in 5 years with **9%** interest payable annually at year-end. At the time of issue, the market rate for such bonds is **10%.** What is the bond price at issuance?

Solution: The bond price is the present value of (or discounted) future cash outflows (i.e., interest payment and principal payback) computed as follows:



Market Interest rate (i) : 10%
Borrowing period (n) : 5 years
Periodic Interest payment (PMT) : \$ 9,000 (\$100,000 x 9%)
<u>Principal back in 5 years (FV) : \$100,000</u>
Bond Price at Issuance : \$96,209



By paying \$96,209 for the bonds at the date of issue, investors actually earn **an effective rate or yield of 10%** over the 5-year term of the bonds because they paid less than face value. The discount on these bonds of \$3,791, (\$100,000 – \$96,209) represents additional earnings to the investor. At the maturity date, investors are repaid the full face value of \$100,000. In other words, investment yield to investors is 10% and the borrowing cost to the borrower is still 10%, the market rate (<u>not 9%</u>).

- When the stated rate (10%) < the market rate (11%), **the bond is issued at a discount**, i.e., the bond price (\$96,209)is less than the face value (\$100,000).
- The price at which the bonds sell is typically stated as a percentage of the face or par value of the bonds. For example, Masterwear Industries sold the bond for 96.2 (96.2% of par).

Concept Quiz #2

1. On January 1, 2026, Masterwear Industries issues $100,000 in bonds due in 5 years with **12%** interest payable annually at year-end. At the time of issue, the market rate for such bonds is **10%.**

   1) What is the bond price at issuance?
   2) What is the annual borrowing cost (in %)?
   3) What is the total borrowing cost (in $) over 5 years.

Excel Solution

i	10%
n	5
PMT	$ (12,000)
FV	$ (100,000)
PV	$ 107,582

PV(rate,nper,pmt,[fv],[type])

Solutions:

14A.7 Fair Value Option

- Many assets and liabilities are measured at cost or at carrying value. The market forces that influence the fair value of an investment in debt securities (interest rates, credit risk, etc.) influences the fair value of liabilities.
- Companies are **not required** to, but have the **option** to, value some or all of their financial assets and liabilities at fair value.
- If the fair value option is elected, a change in fair value creates a gain or loss.
- Any portion of that gain or loss that is a result of a change in the "**credit risk**" of the debt is reported as **other comprehensive income** (OCI)
- Any portion of that gain or loss that is a result of a change in the **general (risk-free) interest rate** is reported as part of **net income**
- **Credit risk:** The risk that the investor in the bonds will not receive the promised interest and maturity amounts at the times they are due
- Any change in fair value that exceeds the amount caused by a change in the general (risk-free) interest rate is the result of credit risk changes

- **Example 14.11a**
  Edmonds Company has issued $500,000 of 6% bonds at face value on May 1, 2025. Edmonds chooses the fair value option for these bonds. At December 31, 2025, the value of the bonds is now $480,000 because interest rates in the market have increased to 8%. What entry does Edmonds make to record the change in fair value?

To record unrealized gain:

Dec. 31, 2025		
Bonds Payable	20,000	
Unrealized Holding Gain - Income		20,000

- $20,000 = ($500,000 – $480,000) The value of the debt securities falls because the bond is paying less than market rate for similar securities. As the journal entry indicates, the value of the bonds declined. This decline leads to a reduction in the bond liability and a resulting unrealized holding gain for the company, which is reported as part of net income.

Example 14.11b – Credit Deterioration

Refer to the Edmonds Company bonds in Example 14.11a. Assume that the Edmonds Company fair value change on its bonds is due to its credit rating dropping from AA to BB. What entry does Edmonds make to record the change in fair value, under these conditions? Edmonds makes the following entry to record the fair value change in other comprehensive income.

To record unrealized gain:

Dec. 31, 2025		
Bonds Payable	20,000	
Unrealized Holding Gain – Equity (OCI)		20,000

- $20,000 = ($500,000 – $480,000). As indicated, unrealized gains and losses due to changes in credit risk will not affect net income, but instead are reported as other comprehensive income.

Concept Quiz #8

1. On January 1, year 2, Southern Corporation received $107,720 for a $100,000 face amount, 12% bond, a price that yields 10%. The bonds pay interest semiannually. Southern elects the fair value option for valuing its financial liabilities. On December 31, year 2, the fair value of the bond is determined to be $106,460. Southern recognized interest expense of $12,000 in its year 2 income statement. What was the gain or loss recognized on the year 2 income statement to report this bond at fair value?

   a. $1,260 gain
   b. $6,460 gain
   c. $12,000 loss
   d. $13,260 loss *AICPA adapted*

2. On July 1, year 2, Marseto Corporation borrows $100,000 on a 10%, five-year interest-bearing note. At December 31, year 2, the fair value of the note is determined to be $97,500. Marseto elects the fair value option for reporting its financial liabilities. On its December 31, year 2 financial statements, what amounts should be presented for this note?

	Interest Expense	Note Payable	Gain (Loss)
a.	$10,000	$100,000	$0
b.	$10,000	$ 97,500	$ 2,500
c.	**$ 5,000**	**$ 97,500**	**$ 2,500**
d.	$0	$ 97,500	$(7,500)

AICPA adapted

Solutions:

1) *A. Interest expense can be measured using various methods. In this situation, Southern recognized interest expense by debiting interest expense for $12,000 and crediting cash for $12,000, which represents the coupon interest paid on the bond. Therefore, interest expense was recognized on the income statement as a separate line item. The change in fair value from January 1, year 2, to December 31, year 2, would, therefore, be recognized as a gain or loss to revalue the bond's carrying value to fair value. The change in value is calculated as beginning of year carrying value of $107,720 less end of year carrying value of 106,460, or $1,260. Since the value of the liability decreased, this indicates a gain of $1,260 that would be recognized on the year 2 income statement.*

2) *C. The loan was outstanding for 6 months.*
   Interest expense = $100,000 x 10% x 6/12 = $5,000
   Fair Value of Notes payable (Dec 31) = $97,500 (given)

--- The End of Chapter 9 --